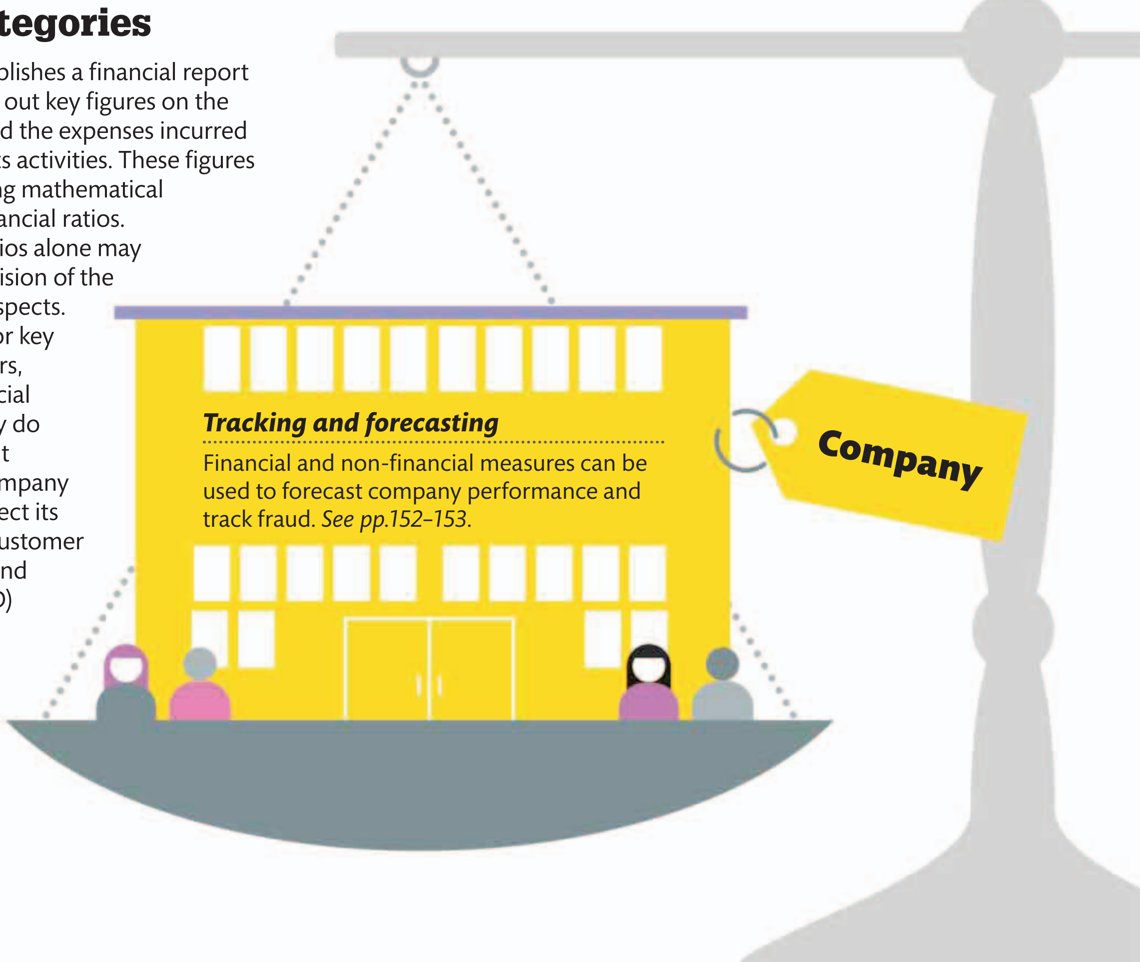
# Measuring performance

**There are two main ways of measuring a company's performance: financial and non-financial. To assess financial performance, a company calculates financial ratios. To assess other areas of the business, a company examines its key performance indicators (KPIs), which help management and staff evaluate performance and how it can improve. KPIs also enable interested outsiders, such as investors, lenders, or analysts, to decide whether to invest in the business.**

## Financial and non-financial categories

Any company that publishes a financial report will be required to set out key figures on the revenue generated and the expenses incurred during the course of its activities. These figures can be compared using mathematical calculations called financial ratios. However, financial ratios alone may not give an accurate vision of the company's future prospects. Non-financial ratios, or key performance indicators, do not measure financial performance, but they do reveal other important characteristics of a company that will ultimately affect its profitability, such as customer loyalty and research and development (R and D) productivity.




***Tracking and forecasting***

Financial and non-financial measures can be used to forecast company performance and track fraud. *See pp.152–153.*